CHAPTER 13

Institutional Finance

1. BANKING

a. Evolution of banking in India

In ancient India, banking as such was predominantly loan-based. The indigenous bankers who belonged to different communities lent money on the security of jewels and also on promissory notes. They functioned both in urban and rural areas. Most of the loans were short-term, repayable with interest after the harvest of the crops, either in one or more installments. The conditions were informal in that the loans could be obtained at any time and without any security depending on the confidence and the relationship of the lender with the borrower.

British Agency Houses set up in Calcutta and Bombay initiated banking business in institutional form by eighteen century. The first bank called the Bank of Hindoostan was established in 1770. Bank of Calcutta was launched in 1806. Renamed as the Bank of Bengal, this became the first of the three Presidency Banks, which heralded the onset of modern banking in India. The merger of the 3 Presidency Banks into the Imperial Bank of India, in 1921, was a landmark event. The Imperial Bank provided money transmission services across the length and breadth of undivided India and Burma, and was connected with the world market through its London Office. After India became independent, the Imperial Bank of India was nationalized on 18th July 1955, and was rechristened as the State Bank of India. By the time the country achieved independence in 1947, India had a fairly well-developed and closely-knit banking system with 648 banks having 4819 branch offices.

The number of commercial banks in the country has increased from 89 in June 1969 to 222 in March 2006. This includes 133 regional rural banks and 4 non-scheduled commercial banks. During the same period, the number of banking offices in the country too has increased from 8262 to 69471. Initially, the banking offices in the country were mostly confined to urban areas as it is evident that in 1969 only 22% of the banking offices were located in rural areas. The nationalization of banks in 1969 and the subsequent evolution of regional rural banks have increased the number of banking offices in rural areas to 44% (approx.) in

March 2006. This achievement is significant inspite of large scale urbanization of the country during the last three decades.

Banking in Goa

Money lending has existed in the State for a long time, specially with merchants and landlords lending out cash for social and religious ceremonies as well as for purchase of necessities and even luxuries. Except for the *Banco Nacional Ultramarino* (National Overseas Bank) there were no banking establishments or professional lending institutions in the State apart from a *Caixa Economica de Goa* which allowed borrowings on a small scale for the needy and not for business. However, the landlords and religious confraternities or charitable bodies lent money in times of need, advances being made against grain etc.

After Goa's merger with Indian Union, in 1961, due to the spurt in development programmes in the State, many banks opened their branches. State Bank of India led the rush with its first branch opened in Panjim on 2nd January 1962 and other commercial banks followed swiftly, with some of them setting up their regional offices in the State in order to expedite the decision making process. Thus, inspite of being a late entrant to the banking system, Goa has made tremendous progress and now has an excellent banking network spread in every nook and corner of the State. In terms of household banking facility, Goa occupies rank No.1 at 72.8%. This is well above the national average of 44.8%. Thus Goa presents one of the better opportunities for achieving 100% financial inclusion by bringing in the remaining 27.2% of uncovered household within the banking fold.

As on 31-3-2007 there are 472 banking offices in Goa. Number of banking offices from 1980-81 to 2006-07 is given in table 13.1.

Table 13.1 : Banking offices in Goa

Sl. No.	Year	No. of banking offices
1	1980-81	258
2	1985-86	297
3	1990-91	306
4	1995-96	375
5	1999-2000	442
6	2000-01	444
7	2001-02	446
8	2002-03	447
9	2003-04	445
10	2004-05	445
11	2005-06	466
12	2006-07	472

Source: Lead bank, Goa.

During the last two decades the number of banking offices has increased by over 60%. Spread of banks is generally measured in terms of population served per bank office. In Goa, the population covered per bank office works out to 2855, which is much better than the national average of over 16000.

Advances

Bank credit plays a critical role in economic growth particularly in case of bank based financial systems like India. Total advances extended by the banks in Goa as on 30th June 2007 is Rs. 5751.94 crore of which Rs. 2185.41 crore is under priority sector, which accounts for 38% of the total advances. The priority sector advances at 38% are short by 2% of the bench mark of 40%. The performance under priority sector advances, advances to women, weaker sections and SC/ST as on 31.3.2006, 31.3.2007 and 30.6.2007 are given in table 13.2.

Table No 13.2 : Performance under Priority Sector Advances, Advances to women, Weaker Section and SC/ST as on 31.03.2007 and 30.06.2007 (provisional)

(Rs. in crore)

Sl. No	Item	Bench Mark	31.03.06	31.03.07	30.06.07
i)	Total Advances		5520.41	6679.89	5751.94
ii)	Total Priority Sector Adv.		1895.15	2244.85	2185.41
	% of Priority Sector Adv. to Total Adv.	40%	34%	34%	38%
iii)	Advances to women		189.58	248.21	263.17
	% of Adv. to women to Total Adv.	5%	3.43%	3.72%	4.58
iv)	Weaker Section Adv.		98.58	114.24	136.63
	% of Weaker Section Adv. to Total Adv.	10%	1.79%	1.71%	2.38%
v)	SC/ST Advances		15.03 (10.45+ 4.58)	22.84 (14.82+ 8.02)	19.72 (13.29+ 6.43)
	% of SC/ST Adv. to Total Adv. (% of SC/ST population 18%)	--	0.27% (0.19%+ 0.08%)	0.34% (0.22%+ 0.12%)	0.34% (0.23%+ 0.11%)

Though in priority sector advances there is an increase in absolute terms of Rs.290.00 crore between 31.03.2006 and 30.06.2007, its percentage to total advances has increased from 34% to 38% over the corresponding period and is below the benchmark of 40%.

It is the same situation in the field of weaker section advances which increased from Rs.98.58 crore as on 31.03.2006 to Rs 136.63 crore as on 30.6.2007 and shows a increasing percentage from 1.79% to 2.38%.

The advances to SC/ST showed a rise both in absolute as well as in percentage terms when it increased from Rs.15.00 crore as on 31.03.2006 to Rs.19.72 crore as on 31.03.2007 with its percentage to total advances increasing from 0.27% to 0.34%.

It has further been observed that although micro-credit in the State is dominated by women, the credit flow to women in the State is poor. As against the benchmark of 5%, the actual advances as on 31.03.2006 stood at Rs.190.00 crore which forms 3.43% of the total advances. The situation has improved a little with the advances to women as on 30.06.2007 standing at 263.17 crore that formed 4.58% of total advances.

2. FINANCIAL INSTITUTIONS

The Indian Economy has a well-knit structure of financial institutions comprising 15 institutions at the national level and 47 at the State level. These institutions provide a variety of customized financial products and services to suit the varied needs of the corporate world. In keeping with the emerging needs of industry in the liberalized environment, these institutions have reoriented their policies and assistance structure with much sharper customer focus, by developing and introducing a variety of products and services. In the post-reform period, All-India Financial Institutions set up several subsidiaries/associate concerns for offering a wide range of such newly developed products and services as also for capital market infrastructure development, covering areas such as commercial banking, investment banking, non-banking finance, investor servicing, venture capital financing, infrastructure financing, custodial services, electronic trading in stock exchanges, capital market regulation, registrar and transfer services and credit rating.

The national level institutions comprised of six All-India Development Banks (AIDBs), two Specialized Financial Institutions (SFIs) and seven Investment Institutions (IIs). At the State level, there are 18 State Financial Corporations (SFCs) and 28 State Industrial Development Corporations (SIDCs). The AIDBs were Industrial Development Bank of India (IDBI), Industrial Finance Corporation of India Limited (IFCI), Industrial Credit and Investment Corporation of India Limited (ICICI Ltd.,), Small Industries Development Bank of India (SIDBI) and Industrial Investment Bank of India Limited (IIBI). However IDBI has been converted into a banking entity effective from Oct. 2004 and hence there are only four AIDBs. The SFIs are Risk Capital and Technology Finance Corporation Ltd. (RCTC), ICICI Venture Ltd (erstwhile TDICI Ltd.) and Tourism Finance Corporation of India Ltd.(TFCI). The Investment Institutions are Life Insurance Corporation of India (LIC), National Insurance Company Ltd. (NIC), New India Assurance Company Ltd. (NIA), Oriental Insurance Company Ltd. (OIC), United India Insurance Company Ltd. (UII), Unit Trust of India (UTI) and General Insurance Corporation of India (GIC).

The AIDBs, IDBI, IFCI, ICICI and IIBI provide financial assistance to medium and large industries, whereas SIDBI caters to the financial needs of small scale sector. AIDBs also undertake promotional and developmental activities. Among the SFIs, RCTC and TDICI provide risk capital, venture capital and technology finance, mostly to

start-up companies in the knowledge-based IT and related sectors, while TFCI extends assistance to hostels and tourism-related projects. Among the investment institutions, LIC deals in life insurance business, while GIC provides general insurance cover. LIC and GIC deploy their funds in accordance with the Government guidelines. UTI mobilizes savings of small investors through sale of units and channelises them into corporate investments mainly by way of secondary capital market operations. Besides, the investment institutions also extend assistance to industry through loans and by way of underwriting/direct subscription to equities and debentures. SFCs provide assistance mainly to small and medium enterprises, while SIDCs cater to medium and large scale industries in their respective States. Apart from providing financial assistance, SFCs and SIDCs also undertake promotional and developmental activities.

3. GOVERNMENT SPONSORED SCHEMES/PROGRAMMES

For effective implementation of Government Sponsored Schemes/Programmes performance of banks are reviewed by the State Level Bankers Committee, District Level Consultative Committee and Block Level Bankers Committee regularly. The banks, Government departments, NABARD and various other institutions represent these committees. Towards ensuring successful implementation of Government sponsored schemes and generate self employment opportunities the banks had formed 2828 SHGs and linked 1316 SHGs as on 30.06.2007. There is a steady progress in the formation and linkage of Self Help Groups. Progress made in the formation and linkage of SHGs is given in table 13.3.

Table 13.3 : Progress made in the formation and linkage of SHGs

(Rs. in lakh)

Sl. No.	Item	31.03.05	31.03.06	31.03.07	Increase from 31.03.06 to 31.03.07	30.6.07
i	No. of SHGs formed and Savings Bank A/cs opened	1486	1988	2790	802	2928
ii	Deposits of the SHGs	159.90	198.62	215.98	17.36	615.06
iii	No. of SHGs linked	550	874	1307	433	1316
iv	Limits sanctioned	454.39	677.82	1132.50	454.68	1242.50
v	Credit outstanding	159.53	455.67	700.27	244.60	722.80

(i) Swarnajayanti Gram Swarozgar Yojana (SGSY)

This is a holistic programme covering all aspects of self employment such as organization of poor into self help groups, training, credit, technology, infrastructure and marketing. The objective is to bring every assisted family above the poverty line within three years. The beneficiaries may be individuals or groups. Under the programme, four to five key activities are to be identified for each block based on resources, occupational skills of the people and availability of market. Selection of key activities will be with the approval of panchayat samitis at the block level and DRDA at the district level. Subsidy under SGSY would be 50% of the project cost up to a maximum of Rs. 10,000/- for SC/STs and 30% of the project cost up to a maximum of Rs. 7,500/- for others. For Self Help Groups, subsidy would be 50% of the project cost subject to a ceiling of Rs. 1.25 lakh. There will be no limit on subsidy for irrigation projects. Performance of banks under this programme during 2004-05, 2005-06 and 2006-07 is given in table 13.4.

Table 13.4 : Performance of banks under SGSY

(Rs. in lakh)

Sl. No	Items	2004-05	2005-06	2006-07
1	No. of applications sanctioned	382	369	297
2	Amount sanctioned	131.00	136.02	124.29
3	Amount disbursed	126.00	127.00	116.41

There were 973 beneficiaries of which 215 were individual and 758 were from SHGs. 97 beneficiaries were women and the amount sanctioned was Rs.36.43 lakh.

(ii) Swarna Jayanti Sahari Rojgar Yojana (SJSRY)

The scheme has two components viz (a) Urban Self-Employment Programme (USEP) and (b) Urban Wage Employment Programme (UWEP). The USEP provides assistance to individual urban poor for setting up gainful self-employment ventures, development of women and children in urban areas (DWCUA), assistance to women to set up self-employment ventures in groups and training of beneficiaries for upgradation and acquisition of vocational and entrepreneurial skills. Under self-employment component, maximum loan admissible is Rs. 50,000/- with a subsidy of 15% of the project cost subject to a limit of Rs. 7,500/-. Training for skill development is allowed at a cost of Rs. 2,000/- per trainee. The DWCUA group is entitled to a subsidy of Rs.1,25,000/- or 50% of project cost whichever is less. If this group by itself forms a thrift and credit society, the group is entitled to a lump sum grant of Rs. 25,000/- as revolving fund at the rate of Rs. 1,000/- per member. The UWEP seeks to provide wage employment to beneficiaries living below the poverty line by utilizing their labour for construction of socially and

economically useful public assets. Performance under this scheme is fluctuating at the best. Performance had declined significantly during 2003-04. However performance from 2004-05, 2005-06 and 2006-07 is nearly stable. Of the sanctioned applications during 2006-07, 15 are women beneficiaries and 2 beneficiaries belong to SC/ST community. Performance of banks under SJSRY during 2003-04, 2004-05, 2005-06 and 2006-07 is given in table 13.5.

Table 13.5 : Performance of banks under SJSRY

(Rs. in lakh)

Sl. No	Item	2003-04	2004-05	2005-06	2006-07
1	No. of applications sanctioned	35	54	59	56
2	Amount sanctioned	9.00	15.00	21.45	19.45
3	Amount disbursed	9.00	15.00	18.23	17.55

(iii) Prime Ministers Rojgar Yojana (PMRY)

The scheme aims at generating self-employment opportunities for all educated unemployed in the age group of 18-35 years with a 10 years relaxation to SC/STs, ex-servicemen, physically handicapped and women. The scheme covers all economic activities including agriculture and allied activities but excludes direct agricultural operations like raising crop, purchase of manure etc. Project cost is up to Rs.1.00 lakh for business sector and Rs.2.00 lakh for other activities. If two or more eligible persons join together in a partnership, a project of up to Rs. 10.00 lakh is covered. Subsidy will be limited to 15% of the project cost subject to ceiling of Rs.7,500/- per entrepreneur. Performance of banks under this scheme during 2003-04, 2004-05, 2005-06 and 2006-07 is given in table 13.6. It is evident that performance is showing a declining trend in the field of amount disbursed. Disbursals of sanctioned applications remain pending mainly because the candidates have to be given the mandatory training by DIC without which disbursal cannot be done. During the year 2006-07, out of 32 applications sanctioned, 9 are women beneficiaries and an amount of Rs.6.45 lakh is sanctioned.

Table 13.6 : Performance of banks under PMRY

(Rs. in lakh)

Sl. No.	Item	2003-04	2004-05	2005-06	2006-07
1	No. of applications sanctioned	112	42	47	32
2	Amount sanctioned	90.00	37.00	39.66	22.84
3	Amount disbursed	82.00	28.00	22.16	18.30

(iv) Margin Money Scheme

The scheme envisages providing financial assistance for any industry/business activity (excluding the activities in the negative list) to generate gainful employment in rural areas. Under the scheme, an amount of up to Rs. 25.00 lakh is given to set up a project. An individual can undertake a project of up to Rs. 25.00 lakh. The Khadi and Village Industries Board, Government of Goa operates the scheme. Of the total applications sanctioned, 20 are women beneficiaries and an amount of Rs.48.57 lakh is sanctioned. Performance of banks under this scheme (KVIC/KVIB) during 2003-04, 2004-05, 2005-06 and 2006-07 is given in table 13.7.

Table 13.7 : Performance of banks under Margin Money Scheme

(Rs. in lakh)

Sl. No.	Item	2003-04	2004-05	2005-06	2006-07
1.	Number of applications sanctioned	206	118	127	88
2	Amount sanctioned	444.00	230.00	318.00	243.36
3	Amount disbursed	427.00	186.00	285.45	184.08

The total margin money allocated to the State in 2007-08 is as under:

(Rs in lakh)

KVIB	261.57
KVIC	129.50
TOTAL	**391.07**

(v) Modern Dairy Scheme & Kamdhenu Scheme

Achievements under Modern Dairy Scheme & Kamdhenu Scheme upto March 2007 & 30.06.2007 are as under:

(Rs. in lakh)

Scheme	Applications Sponsored	Applications Sanctioned		Applications Disbursed	
	No.	No.	Amount	No.	Amount
Modern Dairy Scheme 31.03.07	1	1	0.35	1	0.35
Modern Dairy Scheme 31.06.07	0	0	0.00		
Kamdhenu Scheme 31.03.07	1013	680	397.65	236	121.94
Kamdhenu Scheme 31.06.07	794	122	93.06	10	10.05

4. NABARD

NABARD is an apex financial institution, established by an Act of Parliament, for promotion of rural development, extending refinance support to banks for financing agriculture and allied activities, non-farm sector activities, Government sponsored programmes such as SGSY, PMRY, KVIC/KVIB assisted schemes etc. Besides, NABARD has been mandated to conduct statutory inspection of the SCBs, DCCBs and

RRBs and accordingly, the inspection of the Goa State Co-operative Bank Ltd. (GSCB) is carried out under section 35(6) of the B.R.Act.

i) Refinance support to banks

Under the refinance facility provided by NABARD the commercial banks have been availing need based refinance to augment their resources for financing various activities in farm and non-farm sector. The refinance support extended to banks from 2001-02 to 2006-07 is given in table 13.8. The major sectors to which refinance were channeled is given in table 13.9.

Table 13.8 : Refinance Support Extended to Banks by NABARD

(Rs. in crore)

Agency/Type of Loan Term Loans (Long Term)	2001-02	2002-03	2003-04	2004-05	2005-06	2006-07 (upto Jan. 2007)
Commercial Banks	7.84	2.13	10.92	7.27	13.89	12.74
Goa SCB Ltd.	11.26	17.07	1.79	-	-	
Total Term Loan Refinance	**19.10**	**19.20**	**12.71**	**7.27**	**13.89**	**12.74**

Table 13.9 : Sectoral distribution of refinance to banks by NABARD

(Rs. in crore)

Sector	2001-02	2002-03	2003-04	2004-05	2005-06	2006-07*
Minor Irrigation	0.150	0.057	0.005	0.014	0.035	0.010
Land Development	0.542	0.299	0.040	0.015	0.276	0.080
Farm Mechanisation	0.204	0.071	-	0.235	0.090	0.012
Plantation/Horticulture	0.112	0.504	0.014	0.015	0.046	0.077
Dairy Development	0.757	0.510	0.006	0.072	0.088	0.080
Poultry	0.165	0.059	-	0.003	0.019	0.001
Sheep/Goat/Pig Rearing	0.017	0.003	0.003	0.003	0.001	0.001
Bio-Gas	0.013	0.001	0.001	0.006	0.005	-
Fisheries-Marine, Inland, Brackish	0.477	0.119	0.031	0.039	0.442	0.318
IRDP/SGSY-FS	0.182	0.018	0.004	0.038	0.015	-
IRDP/SGSY-ISB	0.032	0.092	-	0.001	0.051	0.009
Others (incl. SHG, PMRY etc.)	0.595	0.410	10.950	0.282	0.536	0.007
Total	**3.246**	**2.143**	**11.054**	**0.723**	**1.604**	**0.595**
Non-Farm Sector	15.856	17.058	1.650	6.546	12.290	12.143
Grand Total	**19.102**	**19.201**	**12.704**	**7.269**	**13.894**	**12.738**

* Upto 31st Jan'07

ii) Self-Help Groups (SHGs)

NABARD has been implementing and monitoring the micro-credit scheme for formation and credit linkage of Self help groups for socio-economic empowerment of rural poor, especially the women. It is evident that out of 2644 SHGs formed in the State, 1217 have been linked to banks to undertake economic activities. The banks have disbursed a loan of Rs.7.15 crore to the SHGs. The refinance released by NABARD to the Banks is Rs.1.49 crore. NABARD has extended grant assistance to NGOs, etc. for SHG promotions and their credit linkage, conduct of skill upgradation training programmes, orientation and exposure programmes for SHGs to enable them to take up income generating activities and self employment. Besides, orientation programmes and refresher training programmes are being arranged every year for the benefit of Branch Managers, NGOs etc.

iii) Loan to State Government under the Rural Infrastructure Development Fund (RIDF) for creation of infrastructure facilities in rural areas

In order to boost investments in rural areas, creation of adequate infrastructure to support such investments is being financed by NABARD to the State Government out of its RIDF. The interest rate on RIDF loan is Bank rate plus 0.5%. The repayment period for RIDF loans is 7 years inclusive of 2 years grace, which is worked out separately for each installment of the loan released. Mobilization advance ranging from 10% to 30% is also sanctioned to facilitate early commencement of works. The activities eligible for loan assistance under RIDF-XI are given in table 13.10.

Table 13.10 : Activities eligible for loan assistance under RIDF-XI

Sl. No	Sector/Activity	Loan admissible as % of eligible project cost
1	Irrigation including minor, micro and medium irrigation, soil conservation, flood protection, watershed development/reclamation of water logged areas, drainage, forest development, market yard/godown, Apna Mandi, Rural haats and other marketing infrastructure, cold storage, public or joint sector cold storage at various exit points, seeds/agriculture/horticulture farms, plantation and horticulture, grading and certifying mechanisms such as testing and c ertifying laboratories etc., community irrigation wells for irrigation purposes for village as a whole, fishing harbour/jetties, riverine fisheries, animal husbandry, modern abattoirs, small hydel projects and mini hydels, Desalination plants in coastal areas	95%
2	Social sector projects such as drinking water, school buildings, Infrastructure for rural educational institutions, toilet facilities in rural areas and public health institutions	85%
3	Rural connectivity projects such as rural roads and bridges, village knowledge centres, Infrastructure for IT in rural areas	80%

Priority is given to projects which benefit more directly viz. Projects relating to irrigation, flood control, agriculture and allied activities, system improvement in power sector with 95% loan assistance, social sector with 85% loan assistance and rural connectivity with 80% loan assistance. The position of RIDF supported infrastructure projects in Goa is as follows:

NABARD has sanctioned to Government of Goa 154 projects for irrigation, drinking water, rural roads and bridges involving total loan assistance of Rs.66.76 crore under RIDF I,IV,VI,VII and VII tranches. The total amount of loan availed so far amounts to Rs.43.30 crore and 141 projects have already been completed. The irrigation projects executed under RIDF have provided irrigation to an estimated area of 17485 ha. The road projects had provided better connectivity to 173 villages and 67 marketing centres. The projects are expected to create 5284 recurring jobs with 133.54 lakh non-recurring mandays.

However, no loan was availed by the Government of Goa under RIDF II, III, V, IX, X and XI tranches. Under the XI tranche of RIDF (2005-06) Rs.40.12 crore was allocated to Goa but the Government did not avail the funds stating that the infrastructure projects of the State can be completed out of its own resources. During 2006-07 also the State Government had not submitted any project to NABARD for availing assistance under RIDF. Planning Commission had approved projections of Rs.134.21 Crore for the Eleventh Five Year Plan 2007-2012 for the State of Goa and Rs.31.00 crore is to be availed by the Government of Goa during 2007-08.

iv) Farmers' Club

NABARD is also implementing a programme for promotion of Farmers' club in the State for transmitting the latest agriculture techniques for cropping, adoption of latest post-harvest handling technology, value-addition to the raw products and above-all to orient the farmers in establishing a better working relationships with the banks to take care of their funding requirements. These clubs also help the farmers to enjoy the benefit of collective bargaining power while procuring their inputs as well as marketing of their produce. At present, 23 farmers' clubs are functioning in the State.

v) Kisan Credit Cards (KCCs)

NABARD has been propagating and popularizing the issue of Kissan Credit Cards (KCCs) to farmers and Swarojgar Credit Cards (SCCs) to non-farmers to facilitate their availing of hassle-free credit facilities from financial institutions. As on 31.12.2006, 106 SCCs involving an amount of Rs.31.20 lakh have been issued by the various commercial banks in the State. The cumulative position of implementation of the KCC scheme as on 31st December 2006 is given in table 13.11.

Table 13.11 : Kisan Credit Cards

Agency	KCCs issued	Amount involved (Rs. in lakh)	KCC holders covered under PAIs
Commercial Banks	1662	597.10	1239
Goa SCB Ltd	3426	342.60	2658
Total	**5088**	**939.70**	**3897**

vi) NABARD Consultancy Services

NABARD also offers consultancy services through its organ NABARD Consultancy Services (NABCONS) set up for the purpose. The feasibility study conducted by NABCONS in respect of the proposed AEZ to be set up by Government for cashew crop in the State has been submitted to the Government NABCONS has also taken up the assignment of developing suitable cropping pattern for the Tillari Irrigation Project.

vii) Other areas

NABARD prepares Potential-Linked Credit Plans (PLPs) for each district in the State with a view to building a meaningful link between the development plan at the district level and the process of credit planning for supporting agriculture and other rural developmental activities. State focus paper is also prepared by NABARD based on the PLPs to draw the attention of the State Government for necessary policy interventions. It mainly discusses the exploitable potential in the light of the emerging developments in the rural economy of the State, policy initiatives of the Government, RBI and NABARD, infrastructure facilities available and proposed to be made available, health of the rural credit institutions etc. The total exploitable potential for the year 2007-08 has been estimated at Rs. 109571.17 lakh.